

Environment & Sustainability

UNIT 5: Corporate Social Responsibility (CSR)

1. What is CSR?

Corporate Social Responsibility (CSR) is a business model in which companies integrate social and environmental concerns into their operations and interactions with stakeholders. It goes beyond profit-making and legal compliance to include voluntary actions that promote social good, environmental sustainability, and ethical practices.



WBCSD Definition (World Business Council for Sustainable Development)

"The continuing commitment by business to behave ethically and contribute to sustainable economic development while improving the quality of life of the workforce and their families as well as of the local community and society."

Key Points

- CSR = Corporate Citizenship; companies aware of economic, social, and environmental impact.
- Goes beyond legal compliance — involves voluntary ethical actions.
- Significance: enhances reputation, fosters consumer loyalty, attracts talent, mitigates risks.



MNEMONIC — CSR Core Idea: 'SEES'

S — Society (social well-being)
E — Environment (ecological responsibility)
E — Ethics (voluntary, beyond law)
S — Stakeholders (all parties affected)

2. History & Evolution of CSR

CSR evolved over decades from narrow philanthropy to a full strategic imperative. Howard Bowen (1953) — 'father of CSR' — first formally linked business responsibility to society in his book *Social Responsibilities of the Businessman*.

Period	Key Development
1950s	Companies begin seeing themselves as stakeholders in society. Howard Bowen coins CSR concept.
1960s	Scholars view CSR as a response to wider societal issues. Businesses move beyond mere donations.
1970s–80s	Focus on human rights, labour practices, environmental sustainability. Self-regulation begins.
Globalization	International agreements (Agenda 21, Kyoto Protocol) push CSR to global level. MNCs expand scope.
1990s	CSR becomes a strategic imperative. Addressing global issues tied to long-term corporate success.



EXAM TIP: History questions (8–12M) — memorize the decade-wise evolution. Name Howard Bowen and the 1953 book.

2.1 Chronological Evolution of CSR in India (4 Phases)

Phase	Description
Phase 1 (Pre-independence)	Charity & philanthropy dominant. 18th-century merchants built temples, distributed food. Big firms like Tata & Birla followed without self-interest.
Phase 2 (Independence era)	Industrialists asked to demonstrate dedication to society. Mahatma Gandhi introduced 'Trusteeship' — industrialists to manage wealth for the common man. Industries = 'temples of modern India'.
Phase 3 (Post-independence)	Mixed economy phase. Private sector given backseat; public sector controlled economic & social development. Public sector undertakings distributed resources equally.
Phase 4 (1980s onwards)	Globalization & economic liberalization boosted the Indian economy. Indian firms grew rapidly, adopted international CSR compliance standards.

MNEMONIC — 4 Phases: 'CIMP'

- C — Charity (Phase 1: temples, food, philanthropy)
- I — Independence / Trusteeship (Phase 2: Gandhi's model)
- M — Mixed economy / Public sector (Phase 3)
- P — Post-liberalisation / Global standards (Phase 4)

3. Principles & Strategies of CSR

The key principles that guide CSR action:

- Respect for human rights
- Respect for differences of views
- Diversity & non-discrimination as guiding principles
- Make social contribution
- Enter into dialogue with stakeholders
- Self-realisation & creativity
- Fair dealings & collaboration
- Feedback from the community
- Positive value-added approach
- Long-term economic & social development

MNEMONIC — 10 Principles: 'RR-DESF-FPL'

- R — Respect human rights
 - R — Respect differences of views
 - D — Diversity & non-discrimination
 - E — Enter into dialogue
 - S — Social contribution
 - F — Fair dealings & collaboration
 - F — Feedback from community
 - P — Positive value-added
 - L — Long-term economic & social development
- (Self-realisation also included)

4. CSR — The Four Overlapping Dimensions (Carroll's Pyramid)

CSR is visualised as four overlapping circles (or a pyramid), representing a company's balanced responsibilities:

Dimension	Description
1. Economic Responsibility	Be profitable. Foundational level — businesses must survive and provide ROI to shareholders. Required by global capitalism.
2. Legal Responsibility	Obey the law. Comply with labour laws, environmental regulations, fair trade. Required by global stakeholders.
3. Ethical Responsibility	Be ethical. Do what is right, just, and fair — beyond law. Fair treatment, honest marketing, responsible sourcing. Expected by stakeholders.
4. Philanthropic Responsibility	Be a good corporate citizen. Contribute to community: donations, volunteerism, community engagement. Desired by stakeholders.

MNEMONIC — 'ELEP' (bottom to top of Carroll's pyramid)

- E — Economic (Be profitable)
- L — Legal (Obey the law)
- E — Ethical (Be ethical, avoid harm)
- P — Philanthropic (Contribute to community)

 **EXAM TIP:** This is the Carroll Model (1991). The four circles **OVERLAP** — meaning all must be integrated, not addressed in isolation. Frequently asked as 'principles of CSR'.

5. Concept of Charity

Charity refers to the voluntary giving of help (typically money) to those in need, motivated by compassion, without expecting anything in return.

- Focus: Immediate relief and support for individuals/communities.
- Examples: Donations to food banks, disaster relief funds, medical research.

Charity within CSR encapsulates the philanthropic efforts companies make to support societal well-being:

- Financial donations to nonprofits
- Sponsorship of community events
- Support for educational, healthcare, and environmental projects
- Employee volunteerism
- Disaster relief efforts

Benefits: Enhances corporate reputation, builds trust, contributes to positive brand image, reinforces ethical commitment.

6. Corporate Philanthropy

Corporate philanthropy is the act of corporate giving (money, resources, or time) for charitable causes by businesses for the betterment of society. It is voluntary and can take the form of financial or in-kind donations.

6.1 Types of Corporate Philanthropy

Type	Description
Matching Gifts	Company matches employee charitable contributions to eligible non-profits (usually dollar-for-dollar), up to a set limit.
Volunteer Grants (Dollars for Doers)	The company donates to non-profits based on hours an employee volunteers there. Tracked via letters from the non-profit.
Community Grants	Financial assistance to non-profits/community groups in areas the company operates — healthcare, education, arts, environment, youth development.
Employee Grant Stipends	Temporary grants to employees for medical emergencies, natural disasters, or personal crises. Criteria vary by company.
Volunteer Support Initiatives	Rewards employees for active volunteering — spotlights, newsletters, social media recognition, awards.
Financial Donations	Monetary grants for betterment of society; usually tax-exempt.
In-Kind Donations	Non-monetary: goods, services, professional expertise, training, workshops, scholarships, providing facilities.
Corporate Scholarships	Educational grants to students, employees' children, or specific beneficiaries based on financial need, academics, or demographics.
Cause-related Philanthropy	Company contributes a portion of earnings per product sold to an associated non-profit. Example: ₹2 per product to a charitable trust.

MNEMONIC — Types of Corporate Philanthropy: 'MV CGE FI-CS'

M — Matching Gifts
V — Volunteer Grants
C — Community Grants
G — Grant Stipends (Employee)
E — Employee Volunteer Support Initiatives
F — Financial Donations
I — In-Kind Donations
C — Corporate Scholarships
S — Cause-related / Cause marketing

6.2 Benefits of Corporate Philanthropy

Benefit	Explanation
Government Support	Donations for social causes attract government goodwill.
Tax Benefits	Social contributions are eligible for tax deductions.
National Recognition	Enhances company goodwill and social presence.
Community Assistance	Earns community loyalty and support.
Increased Sales	Socially responsible companies attract more customers.

Employee Engagement	Volunteerism boosts morale and mental health.
Enhanced Productivity	Engaged employees are more productive, increasing profit.
Stronger Customer Relations	Customers prefer companies that contribute to society.

MNEMONIC — Benefits: 'GT-NICE-PS'

G — Government support
 T — Tax benefits
 N — National recognition
 I — Increased sales
 C — Community assistance
 E — Employee engagement
 P — Productivity enhanced
 S — Stronger customer relations

7. Corporate Citizenship

Corporate citizenship involves the social responsibility of businesses and the extent to which they meet legal, ethical, and economic responsibilities, as established by shareholders. It is closely linked with ESG (Environmental, Social, Governance) practices.

7.1 Five Stages of Corporate Citizenship

Stage	Description
1. Elementary	Basic, undefined CSR activities. Little management involvement. Complies with basic health, safety, and environmental laws but limited community involvement.
2. Engaged	Develops policies for employee/manager involvement beyond basic legal compliance.
3. Innovative	More comprehensive citizenship policies, increased shareholder consultations and forum participation.
4. Integrated	CSR formalised and blended into regular operations. Performance in community activities monitored.
5. Transforming	CSR is a core strategic element. Drives sales growth, new markets, talent, cheaper capital, and brand loyalty.

MNEMONIC — 5 Stages: 'EE-IIT'

E — Elementary
 E — Engaged
 I — Innovative
 I — Integrated
 T — Transforming

8. Sustainability & Stakeholder Management

8.1 Sustainability

Sustainability = meeting the needs of the present without compromising the ability of future generations to meet their own needs. It has three pillars:

Pillar	Focus & Practices
Environmental Sustainability	Protecting natural resources, reducing carbon emissions, waste minimisation, renewable energy, conserving water, biodiversity protection.
Social Sustainability	Social equity, quality of life, community development, fair labour practices, inclusive growth.
Economic Sustainability	Long-term economic health, responsible investment, fair trade, financial viability without exploiting resources.

CSR vs. Sustainability — Key Distinction (Exam Important)

CSR = looks BACK — reports on what an organization HAS done.

Sustainability = looks FORWARD — focused on the company's ability to survive long into the future.

Both cover: Environment, Society, and Economy.

CSR reports on these areas; sustainability ACTS on them.

8.2 Stakeholders

Stakeholders are all physical or legal entities that interact with a company. Unlike shareholders (financial owners only), stakeholders include everyone affected by the company.

Types of Stakeholders

- Active economic stakeholders: suppliers, business partners, customers, employees
- Observers/Influencers: NGOs, trade unions, lobbies, government
- Beneficiaries or victims: local communities (depending on positive/negative impact)

Key Internal Stakeholders

- Employees — engagement and well-being → productivity and retention
- Management/Leadership — strategic direction
- Shareholders/Owners — financial returns and sustainable growth

Key External Stakeholders

- Customers — drive revenue
- Suppliers/Partners — impact operations and product quality
- Communities — affected by company activities; influence social license to operate
- Regulators/Government — enforce laws
- NGOs — influence public opinion and policy
- Media — shape public perception and reputation

MNEMONIC — External Stakeholders: 'CSC RNM'

C — Customers

S — Suppliers & Partners

C — Communities
R — Regulators & Government
N — NGOs
M — Media

Why are stakeholders important? A company's prosperity depends on creating shared added value — without stakeholders, a company cannot develop. CSR strategy must identify and address stakeholder expectations.

9. Relation between CSR and Corporate Governance

Corporate governance = the system of rules, practices, and processes by which a company is directed and controlled. CSR + Corporate Governance together ensure ethical, transparent, and sustainable business.

Key Components of Corporate Governance

- Board of Directors — oversee strategy and management
- Shareholder Rights — participation in decision-making
- Disclosure & Transparency — accurate, timely information
- Ethics & Business Conduct — integrity and compliance

Key Principles of CSR (for governance context)

- Environmental Stewardship — sustainable practices, reducing carbon footprint
- Ethical Labour Practices — fair treatment, diversity, human rights
- Community Engagement — philanthropy, volunteering, partnerships
- Supply Chain Responsibility — ethical sourcing throughout value chain
- Transparency & Accountability — reporting on CSR goals and progress

Where CSR and Corporate Governance Intersect

Intersection Point	How They Work Together
Alignment of Interests	Governance ensures all stakeholder interests align with long-term company objectives, integrating CSR into strategic decision-making.
Transparent Decision-Making	Governance promotes transparency; CSR extends this to environmental/social disclosures.
Accountability & Ethical Behaviour	Both embed ethical practices — governance holds executives accountable; CSR operationalises ethics.
Long-Term Value Creation	Both prioritise long-term value over short-term gains. CSR risk management + governance = business resilience.
Reputation & Stakeholder Trust	Combined, they build positive brand image and attract customers, investors, and talent.

10. Environmental Aspects of CSR

Companies must be aware of their environmental impact and actively take steps to minimise negative effects.

Environmental Aspect	Key Actions
1. Energy Consumption & GHG Emissions	Implement energy-efficient lighting, HVAC optimisation, solar panels/wind turbines. Reducing energy consumption decreases carbon footprint.

2. Waste Management & Pollution	Recycling, reducing packaging, proper disposal of hazardous materials. Minimise air, water, soil pollution through eco-friendly processes and filtration systems.
3. Conservation of Natural Resources	Sustainable sourcing of raw materials, water recycling, conservation techniques, responsible land use, biodiversity conservation.
4. Climate Change Mitigation & Adaptation	Set emissions reduction targets, invest in renewables, promote sustainable transport. Develop resilience plans (flood protection, disaster response).
5. Environmental Education & Awareness	Workshops, training programmes, awareness campaigns for employees, customers, and community to promote sustainable choices.

MNEMONIC — 5 Environmental Aspects: 'EWCCE'

- E — Energy (reduce consumption, GHG emissions)
- W — Waste (manage, recycle, reduce pollution)
- C — Conservation (natural resources, biodiversity)
- C — Climate (mitigation & adaptation strategies)
- E — Education (awareness for employees & community)

11. Sustainability Reporting: Key Frameworks & Indices

Sustainability reporting involves disclosure of a company's ESG (Environmental, Social, Governance) goals, progress, and financial elements. It provides stakeholders — especially investors — with information beyond traditional financial measures.

11.1 Global Reporting Initiative (GRI)

GRI is one of the most widely used frameworks for sustainability reporting globally. It provides comprehensive guidelines for disclosing environmental, social, and economic impacts.

Key Features of GRI

- GRI Standards: Modular, interrelated standards (universal, sector-specific, topic-specific).
- Materiality Principle: Focuses on issues most significant to company impact and stakeholder interests.
- Transparency & Comparability: Enables comparable reporting across organisations and industries.
- Stakeholder Inclusiveness: Encourages engagement to identify relevant sustainability issues.

Benefits of GRI

- Comprehensive Disclosure: Covers wide range of ESG aspects — holistic performance view.
- Global Acceptance: Recognised by stakeholders worldwide — enhances credibility.

11.2 Dow Jones Sustainability Index (DJSI)

DJSI is a family of indices evaluating sustainability performance of companies based on environmental, social, and economic criteria. Includes global, regional, and country-specific indices.

Key Features of DJSI

- Robust Methodology: Uses Corporate Sustainability Assessment (CSA) conducted by S&P Global.
- Best-in-Class Approach: Recognises companies that lead their industries in sustainability.
- ESG Criteria: Assesses corporate governance, risk management, climate strategy, labour practices, stakeholder engagement.

Benefits of DJSI

- Investor Confidence: Benchmark for investors integrating sustainability into portfolios.
- Recognition & Reputation: Inclusion enhances reputation as a sustainability leader.

11.3 Comprehensive Environmental Performance Index (CEPI)

CEPI measures how effectively a company manages its environmental impact and integrates sustainable practices. It is used within CSR evaluation.

Key Components of CEPI

- Energy Efficiency & Conservation
- Waste Management
- Water Usage & Conservation
- Emissions & Pollution Control
- Sustainable Sourcing & Resource Use
- Biodiversity & Land Use
- Environmental Innovation & Leadership

11.4 Carbon Disclosure Project (CDP)

CDP is a non-profit running a global disclosure system for companies to manage their environmental impacts. Focuses on climate change, water security, and deforestation.

- Key Features: Climate disclosure (GHG, risks, opportunities), water & deforestation coverage, scoring system.
- Benefits: Signals environmental leadership; provides data for investors to assess environmental risks.

11.5 CII — Centre of Excellence for Sustainable Development (CESD)

CII-CESD is an initiative by the Confederation of Indian Industry to promote sustainable development among Indian businesses.

- Sustainability Reporting: Frameworks/guidelines for Indian companies.
- Capacity Building: Training and resources for integrating sustainability.
- Recognition & Awards: Encourages best practices through awards.
- Local Relevance: Tailored to specific challenges of Indian businesses.

MNEMONIC — 5 Reporting Frameworks: 'GDC-CC'

G — GRI (Global Reporting Initiative)
D — DJSI (Dow Jones Sustainability Index)
C — CEPI (Comprehensive Environmental Performance Index)
C — CDP (Carbon Disclosure Project)
C — CII-CESD (India-specific framework)

12. Models of CSR (Quick Reference)

Model	Core Idea
Friedman Model (1962–73)	A businessman's only social responsibility is to serve shareholders & stockholders by performing his duty well.

Ackerman Model (1976)	4 stages: (1) identify social problem, (2) hire experts, (3) actively work, (4) evaluate. 6 strategies: Rejection, Adversary, Resistance, Compliance, Accommodation, Proactive.
Carroll Model (1991)	Pyramid: Economic → Legal → Ethical → Philanthropic. Each level builds on the previous.
Environmental Integrity & Community Health Model (Redman)	Corporate contribution to environmental integrity & human health leads to expansion opportunities.
Corporate Citizenship Model	The firm must satisfy: consistent satisfactory performance, sustainable economics, ethical actions, behaviour.
Stockholders & Stakeholders Model	4 quadrants: Productivism, Progressivism, Philanthropy, Ethical Idealism.
New Model of CSR	CSR(+) only when BOTH financial capability AND ethical rooting are strong. CSR(-) otherwise.

13. Triple Bottom Line (TBL)

Triple Bottom Line expands the traditional business framework to account for ecological and social performance in addition to financial performance. Coined by John Elkington in *Cannibals with Forks: The Triple Bottom Line of 21st Century Business* (1998).

TBL demands that a company's responsibility lies with stakeholders rather than only shareholders.

Pillar	Meaning & Key Points
PEOPLE (Human Capital)	Fair and beneficial business practices toward labour and the community. TBL company creates a reciprocal social structure where corporate, labour, and stakeholder well-being are interdependent.
PLANET (Natural Capital)	Sustainable environmental practices. Reduce ecological footprint — manage energy/non-renewable consumption, reduce manufacturing waste, dispose safely. Life cycle assessment of products. No harmful/destructive products (weapons, toxic chemicals, dangerous heavy metals).
PROFIT (Economic Value)	Economic value created after deducting cost of all inputs including cost of capital. In TBL, 'profit' = real economic benefit enjoyed by the host society, not just internal company profit.

Interdependence in TBL (Venn Diagram Logic)

People $\cap$ Planet = Bearable

Planet $\cap$ Profit = Viable

People $\cap$ Profit = Equitable

People $\cap$ Planet $\cap$ Profit = SUSTAINABILITY (centre)

14. Investor Interest in Sustainability

- Investors increasingly recognise sustainability as a driver of long-term value and risk management.
- Companies addressing ESG issues are better positioned to meet evolving consumer demands.
- Strong CSR practices associated with enhanced governance, transparency, and accountability.

- Rise of social impact investing — generating positive social/environmental impacts alongside financial returns.
- ESG performance metrics allow investors to identify resilient, future-ready companies.

QUICK REVISION — At a Glance

Topic	Key Fact / One-liner
Father of CSR	Howard Bowen — Social Responsibilities of the Businessman (1953)
WBCSD Definition	Commitment to behave ethically & contribute to sustainable economic development
4 Dimensions of CSR	Economic → Legal → Ethical → Philanthropic (ELEP)
5 Stages of Corporate Citizenship	Elementary → Engaged → Innovative → Integrated → Transforming (EEIIT)
4 Phases of CSR in India	Charity → Trusteeship → Public Sector → Globalisation (CIMP)
TBL Pillars	People, Planet, Profit — coined by John Elkington (1998)
CSR vs Sustainability	CSR = looks back (reports); Sustainability = looks forward (acts)
GRI	Global Reporting Initiative — most widely used ESG framework globally
DJSI	Dow Jones Sustainability Index — best-in-class sustainability ranking by S&P Global
CDP	Carbon Disclosure Project — climate, water, deforestation disclosure
CEPI	Comprehensive Environmental Performance Index — measures env. management
CII-CESD	India-specific sustainability framework by Confederation of Indian Industry
Carroll Model	1991 CSR pyramid: Economic–Legal–Ethical–Philanthropic
Friedman Model	Sole responsibility = serve shareholders (profit only view)
5 Env. Aspects of CSR	Energy, Waste, Conservation, Climate, Education (EWCCE)
Stakeholder types	Internal (employees, management, shareholders) + External (customers, suppliers, communities, regulators, NGOs, media)
Charity vs Philanthropy	Charity = immediate relief; Corporate philanthropy = structured, strategic, voluntary giving
Matching Gifts	Company matches employee donations to eligible non-profits (dollar-for-dollar)
Volunteer Grants	Company donates to NGO based on hours employee volunteers there

15. Arguments For & Against CSR

Arguments FOR CSR	Arguments AGAINST CSR
• Moral & social obligations to society • Proper use of resources & competence • CSR expenditure = investment • Avoids many legal complications • Creates better public impression • Company returns part of society's wealth	• Violates fundamental principles of business • Very expensive for business houses • CSR projects often fail • Not a core business area • Seen as misuse of shareholders' money